ACBDD
DBCCE
E

1.1 Scarcity and choice

1. In which of the following situations is a good NOT scarce?

(A) Consumer give up nothing to obtain more of the good. ✓

(B) Consumer can purchase as much of the good as they want at its current market price.

(C) Large quantities of the good are available in the marketplace.

(D) There is a surplus of the good at some positive price.

(E) There is a shortage of the good at some positive price.

2. The study of economics exists because people are confronted with the basic problem of

(A) elasticity

(B) negative externality

(C) scarcity ✓

(D) overabundance

(E) monopoly

3. The study of economics is primarily concerned with which of the following?

(A) The testing of hypotheses under controlled conditions

(B) The allocation of scarce resources, given unlimited wants ✓

(C) The fair and equal treatment of all households

(D) The provision of conclusive answers to public policy issues

(E) The development of the dynamics of group behavior

4. Which of the following is the best example of a scarce factor of production?

(A) Money

(B) Food

(C) Air

(D) Airplanes ✓

(E) Established knowledge

Answer D

Correct. Airplanes are capital goods used to produce transportation services; therefore, they are a factor of production. Airplanes are also scarce.

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5. Scarcity is correctly described by which of the following statements?

I. Scarcity exists if there are more uses for resources than can be satisfied at one time.

II. Scarcity exists if decisions must be made about alternative uses for resources.

III. Scarcity would not exist in a society in which people wanted to help others instead of themselves.

(A) I only
(B) II only
(C) III only
(D) I and II only ✓
(E) I, II, and III

6. Individuals in any society must make choices regarding the types of goods and services to be produced because

(A) free markets do not always allocate resources efficiently
(B) free markets only satisfy the demands of paying consumers
(C) opportunity costs increase as more of a good or service is produced
(D) resources are scarce and human wants are unlimited ✓
(E) resources must be allocated for the benefit of the entire society

7. The basic economic problem of all countries is the existence of

(A) tax increases and budget deficits
(B) limited resources and unlimited wants ✓
(C) unemployment and inflation
(D) government and private industry
(E) unions and monopoly firms

8. Which of the following describes a factor of production that is not fully scarce and that can be used simultaneously in the production of more than one good?

(A) Machines that can produce both clothing and bedsheets
(B) Unskilled labor needed to produce all goods
(C) Basic knowledge that enhances the organization of all manufacturing assembly lines ✓
(D) Land that is cultivated for two crops by more than one farmer
(E) Labor that has received enhanced training in assembly-line work

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Answer C

Correct. With this basic knowledge there is nonrival use. It can enhance the production of more than one good simultaneously, without any trade off.

9. Which of the following is an example of a nonrival resource?

(A) National park camping sites that can be reserved by anyone
(B) Farmland that can be used to grow corn or soybeans
(C) Solar energy ✓
(D) Fish in the ocean
(E) Timber in a forest

Answer C

Correct. Solar energy is nonrival. It can be enjoyed jointly by all, and one person's enjoyment of the sun will not reduce its availability to others; it can be used by anyone without affecting another's use.

10. Which of the following is an example of physical capital?

(A) Earnings from a job
(B) Fish in the ocean
(C) Money in a person's wallet
(D) An unskilled worker
(E) A tractor used in farming ✓

Answer E

Correct. Physical capital represents tangible inputs, such as a factory, machinery, and infrastructure that are used to produce output. A tractor is a machine used to aid in the production of crops in farming.

11. Which of the following is NOT an example of physical capital?

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(A) A delivery truck
(B) A warehouse
(C) Office furniture
(D) Machinery
(E) Land ✓

Answer E

Correct. Land is a different factor of production from capital. Land refers to natural resources.

12. The basic economic problem of all economies is essentially one of deciding how to make the best use of

(A) unlimited resources to satisfy unlimited wants
(B) limited resources to satisfy unlimited wants ✓
(C) unlimited resources to satisfy limited wants
(D) limited resources to satisfy limited wants
(E) limited resources to provide public goods

13. Which of the following statements describes an economy confronting scarcity?

(A) If more of one good is produced, less of another good must be produced. ✓
(B) An economy can produce a limitless amount of all goods.
(C) All individuals are able to satisfy their consumption desires.
(D) Scarcity is eliminated by government provision of goods.
(E) Scarcity only exists as a problem when there is more than one good to produce.

Answer A

Correct. With scarce resources that are fully employed, if more of one good is produced, less of another good must be produced. Scarcity means that society faces trade offs.

14. Which of the following best explains why individuals and societies must make choices when presented with alternatives?

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(A) People possess limited knowledge.

(B) Resources are scarce. ✓

(C) People cannot agree on societal goals.

(D) Resources are not fully employed.

(E) People are more interested in their own well-being than in society's well-being.

Answer B

Correct. The basic economic problem is how to allocate scarce resources to meet unlimited human wants.

15. Individuals and societies must make choices regarding which goods and services will be produced and consumed because

(A) unlimited wants can only be satisfied by allocating resources efficiently

(B) resources are insufficient to satisfy the unlimited wants of people ✓

(C) allocating scarce resources efficiently reduces the equitable distribution of goods

(D) income is not equally distributed to ensure that everyone can participate in the market

(E) a country cannot have a comparative advantage in the production of all goods

16. People must make choices among available options because people

(A) are irrational

(B) have limited wants

(C) have limited resources ✓

(D) are not provided goods by the government

(E) do not receive positive benefits from consuming certain goods

Answer C

Correct. People need to make choices because resources are scarce. In order to be able to use these limited resources people need to make rational decisions.

17. Scarcity leads to which of the following?

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(A) Unemployed resources
(B) Absolute advantage
(C) Opportunity cost ✓
(D) Efficiency
(E) Monopolies

Answer C

Correct. Scarcity results from limited resources and unlimited wants and needs. Thus, scarcity results in opportunity costs (trade-offs) in production and consumption.

18. The study of economics is based on the premise that

(A) goods and services are scarce but capital is unlimited
(B) the growth of government is limited but resources are unlimited
(C) natural resources are scarce but labor is unlimited
(D) factors of production are scarce but goods and services people desire are unlimited ✓
(E) consumer products are scarce but resources are unlimited

Answer D

Correct. Economics is a social science that studies how individuals and societies allocate their limited resources to achieve their unlimited wants. Thus, the study of economics assumes that factors of production are scarce, and people have unlimited desire for goods and services.

19. Assume an economy is using all its available resources efficiently to produce only two goods, X and Y. As more of good X is produced, what happens to the production of good Y?

(A) The production of good Y also increases.
(B) More resources will need to be devoted to producing good Y.
(C) Less of good Y is produced as resources move from producing good Y to producing good X. ✓
(D) The economy can only produce more of good X if there is more labor available.
(E) There will be no loss of good Y produced.

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Answer C

Correct. The economy uses all its resources fully and efficiently. If greater production of good X is desired than the current level, then resources need to be moved from the production of good Y to the production of good X. This situation illustrates the economic trade-offs that arise from the lack of sufficient resources. For every unit increase in the production of good X, some units of good Y need to be given up. Thus more X means less of good Y will be produced.